

Macro Examples for Everything

<https://youtu.be/6rzYbj-mskc>

Determinants of Aggregate Demand

Determinants of Consumption

Low interest rates - UK 0.5%, Eurozone 0%, Japan 0%, Russia, India

High Interest Rates - Argentina, Turkey, 40%

High Consumer & Business Confidence - USA (booming) Eurozone (recovering)

Low Consumer & Business Confidence - Japan, China, UK

High House Prices (wealth effect) - UK, USA

Low Indebtedness - Germany

High Indebtedness - Japan, Greece

High real disposable income - Eurozone, USA, Australia

Low real disposable income - Russia, Venezuela, Brazil

Low income tax - UK, USA

Low corporate tax - Ireland, USA

High income tax - Belgium

High sales tax - Hungary 27%

Determinants of Investment

Interest rates - *Low* - Switzerland -.75%, Japan -.1% UK 0.5%, Eurozone 0%, , Russia, India,
High - Argentina 70%, Turkey 24%,

High Business Confidence - USA, (booming) Eurozone (recovering)

Low Consumer & Business Confidence - Japan, China, UK

Low Corporate taxes - Ireland 12.5%, Slovenia, 17%, USA (Trump tax cut 35% → 20%)

High Corporate taxes - France & Belgium 34%, Australia 30%

Determinants of Government spending

Fiscal expansion - Japan (Abenomics) Infrastructure esp., China Infrastructure esp, Hong Kong, USA (possible infrastructure spending)

Austerity - Greece, UK, Spain, Portugal, France, Italy - all controlling national debt

Determinants of Net Exports

Weak exchange rate

British pound (b/c Brexit uncertainty)

South African Rand, Russian Ruble, Brazilian Real, Turkish lira mostly b/c primary commodity exporters & demand for commodities declined

Strong exchange rate

Euro, Japanese Yen, Australian Dollar

Determinants of Short-Run Aggregate Supply

Commodity prices high/low

Oil, gas/electricity, food, - UK

Wages higher

Eurozone, USA

Higher sales tax

UAE implemented 5% VAT, Japan 2014 increase contributed to recession

Weak exchange rate

GBP, SA Rand, Turkish Lira - stoking cost-push inflation

Causes of Recession

Financial Banking Crises

UK/USA 2008/9, Eurozone (Spain, Italy, Greece) 2008/9

Increased interest rates → recession

Russia 2014, South Africa increased rates to 7 ½% in 2016

Housing market crash

UK/USA 2008/9

Oil Shock/High commodity prices
UK 2009/2012

Weak exchange rates - high import prices causing cost-push
South Africa, Russia, Brazil, Turkey, Nigeria

Higher Sales tax - Japan increased in 2014

Falling Commodity Prices for commodity exporters (i.e. oil prices fall → recession)
Nigeria, Angola, Russia (natural gas), Brazil, Venezuela, Zambia (copper)

Stagflation

South Africa, Egypt, Nigeria, Turkey, Argentina, Venezuela

Benefits of Economic Growth - China, India, Botswana, Rwanda, Ireland, any S.E. Asian nation

Costs of Growth - China, India, Nigeria, Angola - high rates inflation, income inequality increasing, negative production externalities, environmental degradation, dual-economies

Demand Pull Inflation - China, UK, USA

Cost Push Inflation - UK, South Africa, Turkey, Argentina

Good Deflation - UK, Eurozone, Switzerland

Bad Deflation - Japan, Greece → past ten years)

Costs of Inflation - Argentina, Brazil (up to 12% few years ago, UK

Cyclical Unemployment - Eurozone (Greece 21%, Spain 16% unemployment rate, South Africa 26%

Structural Unemployment - Eurozone, UK, USA

Real Wage Unemployment b/c wages have risen or strong unions - UK, Germany, France & Spain labor unions)

Costs of Unemployment - Eurozone (Greece, Italy, Spain)

Income Inequality (Low Gini coefficient) Norway, Denmark, Sweden, Finland

High Gini coefficient - Nigeria, Angola, Botswana, South Africa

Absolute Poverty - Zimbabwe, Ethiopia, China, India (esp rural poverty)

Relative Poverty - UK, USA

Monetary Policy

Lower Interest rates - Brazil, South Africa, Russia, India - trying to stimulate growth as inflation worries lessen

Higher Interest rates - USA, Canada, Turkey (24%), Argentina (70%) - keep inflation in check

Quantitative Easing - Japan, Eurozone, (USA is pulling back)

Negative Interest Rates - Japan, Switzerland

Fiscal Policy

Fiscal Expansion (Gov spending) - Japan, China, USA

Austerity - UK, Ireland, Portugal, Greece, Italy, Spain, France (esp. Very successful in Ireland)

Tax Cuts - UK reduced income tax - USA reduced corporate taxes

Tax Increases - Australia increased marginal rate to spend more on health care, UK (VAT 2010), Japan (VAT 2014)

International Trade & Globalization

1. **Globalization winners** - Asian Tigers, Europe, Gulf States, China, India, Korea, most SE Asia b/c rapid increases in HDI, GNI/capita, poverty reduction, FDI increases

2. **Globalization losers** - sub-Saharan Africa (primary commodity dependence, protectionism within continent and from MEDCs abroad, governmental corruption)

South America - primary commodity dependence, corruption, & import-substitution policies
Opened up capital markets to speculative flows of finance having destabilizing effect on economies (i.e. Argentina in 1990s)

North America - especially lower & middle classes as Asian countries have found comparative advantage in manufacturing leading to widespread structural unemployment

3. **Protectionism** - USA Trump's tariffs → China/Japan retaliation on USA bourbon, jeans, HD motorcycles

EU anti-dumping tariffs on Chinese steel/aluminium & \$22bn Airbus subsidies → China retaliated on EU wine & EU cars

4. **Current Account deficit** - USA, UK, India since 1990s

5. **Current Account surplus** - China, Germany, Netherlands, Singapore, Norway

6. **Fixed Exchange Rate** - UAE, Saudi Arabia, Qatar, Bolivia
7. **Managed Exchange Rate** - China - Trump labeled currency manipulator
8. **Weak Exchange Rate** - USD, GBP, Turkish Lira, SA Rand
9. **Strong Exchange Rate** - Euro, Yen, Australian \$,

Development

Successful market-based approach - India attracting FDI, China exporting, Botswana, Tanzania w/FDI, Mauritius w/FDI

Failed market-based approach - Nigeria, Angola - b/c significant corruption

Interventionist supply-side approach - doesn't work that well b/c low income increases w/poor job creation - causing HDI to be held back

- a. Relative success - Rwanda, Ethiopia b/c health and education investment
- b. Relative failure - Zimbabwe, Zambia (2010), Burundi - authoritarian governments

Supply Side Policies - Specific to the UK

<https://youtu.be/hBJjoKXCZ8I>

Interventionist

£31 billion for National Productivity Fund

1. Education

£400m school funding 2019 - more funding for maths & Comp. Sci.

Gov. spending on apprenticeships

Subsidies/grants for adult training

2. Healthcare

NHS budget increasing by £20.5bn above inflation by 2023

3. Infrastructure

£28.8bn between 2020-25 as part of national roads fund

Rail infrastructure

£1bn digital infrastructure - 5g mobile & full fiber

Market-based supply-side policies (specific to UK)

1. Income tax cuts - £12,500 tax free allowance

40% threshold starts at £50,000

2. Corporate tax cuts - 19% w/plans for 17%

3. Investment Incentives - £1m investment tax free allowance

Tax relief for small & medium-sized enterprises who engage in R&D

4. Welfare Reform - Welfare caps

5. Deregulation - housing marking planning permission £10bn of red tape cut

6. Trade liberalisation - post-Brexit trade deals